

Contestant Number: _____

Time: _____

Rank: _____

PERSONAL FINANCIAL MANAGEMENT (165)

STATE – 2019

Multiple Choice & Short-Answer Section:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Short-Answer (23 @ 3 points each) _____ (69 points)

TOTAL POINTS _____ ***(129 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than sixty (60) minutes testing time

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GENERAL INSTRUCTIONS

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.

Example: Use 2.3% *not* 2%

Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).

Example: \$35.9765 to \$35.98

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. The type of stock that will receive dividends first is _____.
 - a. treasury stock
 - b. common stock
 - c. preferred stock
 - d. international stock
2. The age at which you may begin withdrawing from your 401(k) without penalty, as long as you are retired, is _____.
 - a. 59½
 - b. 62
 - c. 70
 - d. 70½
3. You take out a \$3,000 loan from a bank that compounds interest on that loan. Which of the following compounding terms would be the *most* beneficial?
 - a. Daily
 - b. Monthly
 - c. Quarterly
 - d. Annually
4. How many allowances are claimed on your tax return if you are married with two children?
 - a. 2
 - b. 3
 - c. 4
 - d. 5
5. If you want to invest into blue chip companies, which of the following mutual funds would *most likely* satisfy your objective?
 - a. Small-cap growth
 - b. Mid-cap growth
 - c. Mid-cap value
 - d. Large-cap value
6. You wish to invest into a 5% front-end load mutual fund that has a current NAV of \$36.70 and a minimum initial investment of \$1,000. What is the *minimum* number of shares you must purchase?
 - a. 27
 - b. 28
 - c. 29
 - d. 36

7. A house payment would be considered which type of expense?
 - a. Unnecessary Expense
 - b. Discretionary Expense
 - c. Variable Expense
 - d. Fixed Expense
8. If a home owner chooses a 30-year mortgage instead of a 15-year mortgage, the monthly payment is _____.
 - a. lower and the interest paid is lower
 - b. lower and the interest paid is higher
 - c. higher and the interest paid is lower
 - d. higher and the interest paid is higher
9. The stock exchange in the United States where every transaction is completed through a computer network is the _____.
 - a. NASDAQ
 - b. Chicago Mercantile Exchange
 - c. NYSE
 - d. New York Mercantile Exchange
10. Earnings that are taxed in the year of withdrawal *instead* of the year they are earned are known as _____ earnings.
 - a. tax deferred
 - b. tax restructured
 - c. tax withheld
 - d. tax abated
11. The retirement plan that *includes* an income limit for eligibility is a(n) _____.
 - a. pension
 - b. 401(k)
 - c. IRA
 - d. Roth IRA
12. The amount of an individual's income that is left for spending or saving after personal necessities have been paid is known as _____ income.
 - a. primary
 - b. discretionary
 - c. gross
 - d. taxable
13. Which investment pays interest?
 - a. CD
 - b. Preferred Stock
 - c. Equity Mutual Fund
 - d. Common Stock

14. You purchase 25 shares of Alcantor Inc stock @ \$125.36. What is the cost to you, including a 2% commission to the broker?
- \$3,071.32
 - \$3,134.00
 - \$3,136.00
 - \$3,196.68
15. What type of insurance would cover the contents of your apartment?
- Homeowner's Insurance
 - Landlord's Insurance
 - Renter's Insurance
 - Liability Insurance
16. Which of the following conditions could *lower* the premium on car insurance?
- Buying a more expensive car
 - Including collision coverage in your insurance policy
 - Being a good student
 - Getting a speeding ticket
17. Who pays Social Security and Medicare Tax on earnings?
- Employees
 - Employers
 - Neither employees nor employers
 - Both employees and employers
18. The type of auto insurance that covers the damage to your car from a hailstorm is _____.
- medical liability
 - property liability
 - collision
 - comprehensive
19. A credit card limit refers to _____.
- the maximum amount of debt on your credit card at any one time
 - the amount of debt you must pay interest on
 - the maximum amount you can pay on your credit card
 - the number of credit cards you are legally allowed to have
20. Which of the following is *not* an advantage of a 401k plan?
- The employer automatically selects the investments for you.
 - Contributions are not counted as income when you file your annual tax return.
 - The growth of the money in the account is not taxed until withdrawal.
 - Many companies will match a percentage of your contributions to the plan.

21. The three common credit reporting agencies include all of the following *except* _____.
a. Equifax
b. Standard & Poor
c. TransUnion
d. Experian
22. The investment that tracks an index, commodity, or basket of assets, but trades like a common stock on a stock exchange is a(n) _____.
a. ETF
b. income mutual fund
c. equity mutual fund
d. corporate bond
23. Form W4 is completed by an employee in order to _____.
a. file his/her tax return
b. claim allowances for payroll purposes
c. show the amount of earnings and taxes withheld for the prior calendar year
d. itemize deductions
24. You recently sold a stock for \$75.16. The return on your investment was 5.4%.
What was the purchase price of the stock?
a. \$13.91
b. \$69.76
c. \$71.30
d. \$79.22
25. Which retirement account is typically available only for employees of tax-exempt organizations?
a. IRA
b. Roth IRA
c. 401(k)
d. 403(b)
26. Which of the following would indicate a *good* credit score?
a. 300
b. 500
c. 700
d. 900

27. The process by which an employee with a qualified retirement plan becomes entitled to the money within that plan is known as _____.
a. contributing
b. withdrawing
c. vesting
d. accruing
28. What is the ideal investment strategy in terms of risk and return?
a. Low risk, low return
b. Low risk, high return
c. High risk, low return
d. High risk, high return
29. What is an *advantage* of earning compounded interest rather than simple interest on your investment?
a. You will earn interest on principal plus interest already earned.
b. Your interest will remain constant throughout the life of the investment.
c. You will pay less in taxes on your investment.
d. You will reduce the maturity date, thus receiving your money sooner.
30. Which of the following would *most likely* negatively affect your credit score?
a. Beginning a new job
b. Paying your credit card balance in full
c. Paying the final payment on a car loan
d. Applying for more credit cards

Short Answer:

1. On March 10, 2019, you invest \$2,500 into a two-year, 2.75% bank CD which pays interest semiannually.
- a. How much interest was earned the first six-month period? _____
- b. How much interest was earned the 2nd six-month period? _____
- c. What is the value of your investment after one year? _____
- d. How much interest was earned the 3rd six-month period? _____
- e. What is the maturity value of your investment? _____

2. Maria Molina buys into a large-cap equity, no-load mutual fund. Maria purchases 150 shares of the fund, which has a current NAV of \$26.15. After one year the NAV has increased to \$30.23. The fund charges an annual management fee of 1.5%.
- How much did Maria spend when she bought the mutual fund?

 - What fee will Maria be charged at the end of the year? _____
 - By what percentage did Maria's fund increase during the year?

 - What is the value of the mutual fund for Maria after the 1st year?

3. Nicole Frost's auto insurance includes bodily-injury liability, property damage liability, comprehensive coverage, and personal-injury protection. However, Nicole chose to not include collision coverage in order to save money on premiums. Nicole's policy includes a \$500 deductible. For each of the following scenarios, determine the amount that Nicole and her insurance will pay.
- Nicole hits a car and she is determined to be at fault. There is no damage to her car, but damage to the other car equals \$700. In addition, the other driver is treated for minor injuries, at a cost of \$800.
 - Nicole pays _____; Her insurance pays _____
 - Nicole slides off the road and hits a guardrail. There is damage to Nicole's car equaling \$900.
 - Nicole pays _____; Her insurance pays _____
 - Nicole's car is damaged by a tree limb during a thunderstorm. The limb causes \$850 in repairs.
 - Nicole pays _____; Her insurance pays _____

4. Given the following federal tax rates, calculate the amount of tax liability each of the following individuals have for the year.

Tax Rate	Single Filers Taxable Income	Married Filers Taxable Income
10%	\$0 to \$9,525	\$0 to \$19,050
12%	\$9,526 to \$38,700	\$19,051 to \$77,400
22%	\$38,701 to \$82,500	\$77,401 to \$165,000

- a. Jackie Newman – single, taxable income = \$36,428 _____
- b. Devin and Hannah Seger – married, taxable income = \$98,634 _____
5. Joe Johnson, a recent college graduate, just began his job as a programmer, with an annual salary of \$58,000 before taxes. Withholdings from various taxes are estimated to be \$14,500 for the year. He will be paid semimonthly. Joe wants to develop a monthly budget, using the following information.
- Estimated monthly expenses include:
 - o Apartment Rent - \$800
 - o Utilities - \$250
 - o Cell Phone - \$100
 - o Car Loan - \$375
 - o Food - \$500
 - o Clothing - \$300
 - o Entertainment - \$250
 - o Miscellaneous - \$200
 - Joe enrolls in his company's 401(k) program, which will withhold 4% of his earnings before tax each pay period
 - Joe enrolls in his company's stock purchase program, which will withhold 1.5% of his earnings before tax each pay period
 - Joe puts the remaining money into a savings account each month
- a. How much will Joe's net pay be each pay period? _____
- b. What are Joe's total estimated monthly expenses? _____
- c. How much will Joe put into the stock purchase plan each pay period?

- d. How much will Joe put into his 401(k)-retirement account each pay period?

- e. Joe's company offers a match of 50% on his contribution into a 401(k) program. How much will the company contribute for the year?

- f. How much money has Joe budgeted to be saved each pay month?
